

09 Oct 2026 00:19:59 ET | 12 pages

RoboSense (2498.HK)

3Q Shipment Beat by 5% with Strong ADAS LiDAR Delivery

CITI'S TAKE

RoboSense reported record 3Q26 LiDAR shipments of 595.6k units (+221% YoY and +53% QoQ), 5% ahead of VA consensus of 568k units mainly due to strong ADAS deliveries. ADAS segment contributed 450.4 units (+200% YoY and +54% QoQ) and beat VA consensus by 8%, and Robotics segment delivered 145.2k units (+309% YoY and +50% QoQ), while -5% below VA consensus. 9M26 shipments reached 1.3 million units, +191% YoY and marking 59% run-rate (vs. 50% in 9M25) of our full year estimate of 2.2 million units. Although the strong volume print validates RoboSense's market leadership, we see some pressure on 2H margin given more ADAS shipment with lower GPM than Robotics LiDAR.

Buy

Price (08 Oct 26 16:10)	HK\$15.40
Target price	HK\$23.30
Expected share price return	51.3%
Expected dividend yield	0.0%
Expected total return	51.3%
Market Cap	HK\$7,249M
	US\$924M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Bull/Bear: RoboSense

HK\$ **30.30**



▲97% Upside

HK\$ **23.30**



▲51% Upside

HK\$ **9.30**



▼40% Downside

HK\$



Spread 136pp
Current Price and expected returns (upside/downside) as of 08 Oct 2026

BULL Assumptions



- 27-29E NP CAGR +10ppt vs. Base Case
- TP of HK\$30.3

BASE Assumptions



- 27-29E NP CAGR at 108%
- TP of HK\$23.3

BEAR Assumptions



- Setbacks leave the stock trading at distressed level
- TP of HK\$9.3

RoboSense

Valuation

Given we expect RoboSense to turn net profitable in 2027E and deliver a 2027-29E net profit CAGR of 108%, we apply a PEG-based valuation framework, consistent with our methodology for direct peer Hesai. Our target price of HK\$23.3 is derived by applying a 0.6x 2027E PEG, representing a 40% valuation discount to Hesai's 1.0x PEG, implying a 2027E P/E of 65.0x.

Risks

Key downside risks that could prevent RoboSense's share price from reaching our target price include: 1) customer and platform concentration, with a substantial portion of ADAS shipments tied to key OEM programs; 2) intensifying multi-front competition and price erosion in mass-market ADAS LiDAR from specialized peers and vertically integrated Tier-1 suppliers; 3) technology and tape-out execution risks during the transition to in-house chips.

Upside risks that could lead to the stock trading above our target price include: 1) volume delivery beats from the 4Q26E SOP of the "Eyes, Skin, Muscles" robotics component matrix; 2) accelerated mass-deployment of commercial L3/L4 Robotaxi fleets by Chinese mobility platforms, creating a large multi-unit LiDAR demand surge; 3) faster-than-expected gross margin improvement driven by cost reductions under the in-house chips ramping-up.

Hesai Group

(2525.HK; HK\$15.66; 1; 08 Oct 26; 16:10)

Valuation

As Hesai has achieved profitability from 2025, we use a PEG valuation methodology to capture earnings CAGR. By applying 1.0x 2026E PEG (in-line with auto sector LT average) on a +63% 2026E-28E NP CAGR, we derive our target price of HK\$27.91 for Hesai's HK-listed shares. Our target price implies 34x 2027E P/E.

Risks

Downside risks that could prevent the shares from reaching our target price include: (1) rising competition from a range of companies developing LiDAR products and unstable competitive landscape; (2) potential product defects reducing market adoption and damaging the company's reputation; (3) potential raw material cost increase; (4) lower-than-expected LiDAR/ADAS penetration; (5) potential price war weighing on blended ASP; (6) technology and intellectual property risk; and (7) regulation risk.

Hesai Group

(HSAI.O; US\$15.61; 1; 08 Oct 26; 16:00)

Valuation

As Hesai has achieved profitability from 2025, we use a PEG valuation methodology to capture earnings CAGR. By applying 1.0x 2026E PEG (in-line with auto sector LT average) on a +63% 2026E-28E NP CAGR, we derive our target price of US\$28.6 for Hesai's US-listed shares. Our target price implies 34x 2027E P/E.

Risks

Our quant risk rating system assigns a High Risk rating to Hesai shares, but we think it is unwarranted considering the company's leading market share and strong design wins supporting long-term growth visibility. Downside risks that could prevent the shares from reaching our target price include: (1) rising competition from a range of companies developing LiDAR products and unstable competitive landscape; (2) potential product defects reducing market adoption and damaging the company's reputation; (3) potential raw material cost increase; (4) lower-than-expected LiDAR/ADAS penetration; (5) potential price war weighing on blended ASP; (6) technology and intellectual property risk; and (7) regulation risk.

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Appendix A-1

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IMPORTANT DISCLOSURES

Hesai Group (HSAI)
Ratings and Target Price History
Fundamental Research

Analyst: Jeff Chung



	Date	Rating	Target Price	Closing Price
1	14-Nov-23 12:38:22	1	*14.20	11.00
2	19-Dec-23 22:32:47	*--	-	8.87
3	01-Feb-24 22:10:21	*1	*8.90	4.02
4	12-Mar-24 03:15:01	1	*8.50	5.16
5	21-May-24 06:17:29	1	*8.30	4.53

*Indicates Change

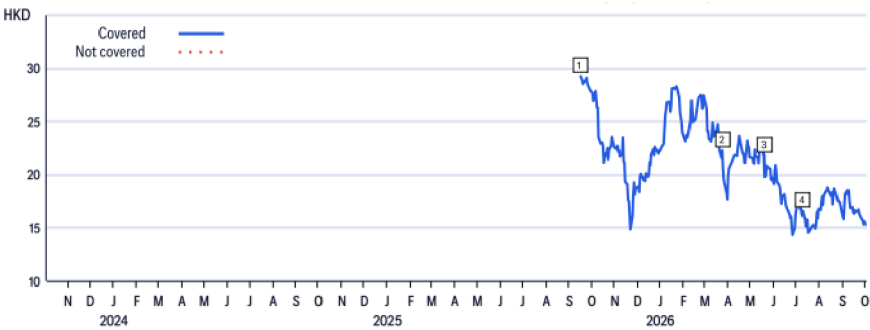
	Date	Rating	Target Price	Closing Price
6	20-Aug-24 05:18:28	1	*7.20	4.17
7	26-Nov-24 02:45:06	1	*7.50	6.86
8	09-Dec-24 01:56:53	1	*14.20	10.76
9	11-Mar-25 09:42:23	1	*29.00	24.08
10	13-Mar-25 14:36:46	1	*36.00	20.56

	Date	Rating	Target Price	Closing Price
11	27-May-25 01:22:57	1	*37.00	21.26
12	16-Sep-25 00:35:46	1	*38.10	29.80
13	24-Mar-26 13:40:07	1	*33.00	20.24
14	19-May-26 13:25:33	1	*28.60	20.03

Rating/target price changes above reflect Eastern Time

Hesai Group (2525.HK)
Ratings and Target Price History
Fundamental Research

Analyst: Jeff Chung



	Date	Rating	Target Price	Closing Price
1	16-Sep-25 00:35:46	*1	*37.11	29.25
2	24-Mar-26 13:40:07	1	*32.19	22.28

*Indicates Change

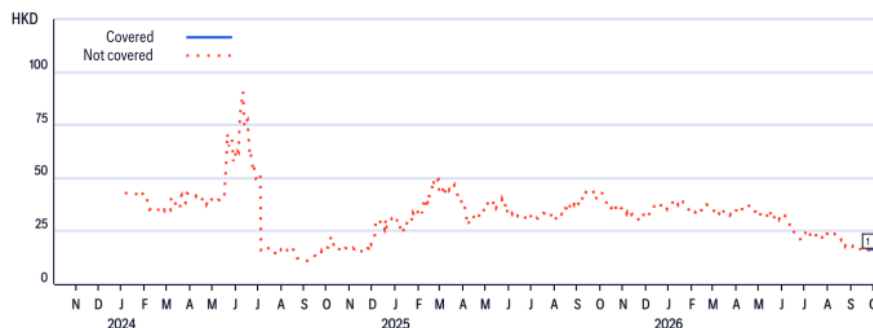
	Date	Rating	Target Price	Closing Price
3	19-May-26 13:25:33	1	*27.91	21.78
4	10-Jul-26 05:25:45	1	*27.91	16.57

Rating/target price changes above reflect Eastern Time

RoboSense (2498.HK)

Ratings and Target Price History Fundamental Research

Analyst: Jeff Chung



1	Date	Rating	Target Price	Closing Price
1	25-Sep-26 05:02:48	*1	*23.30	16.01

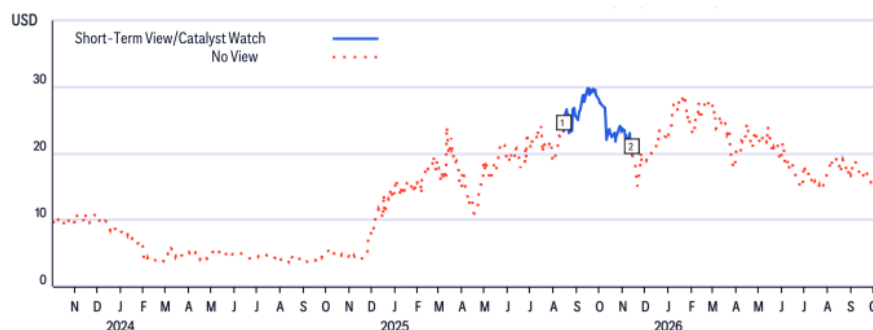
*Indicates Change

Rating/target price changes above reflect Eastern Time

Hesai Group (HSAI)

Short-Term View/Catalyst Watch Research

Analyst: Jeff Chung



1	Date	Action	Expected Direction	Duration	Closing Price
1	14-Aug-25 23:30:54	Add CW	Upside	90 Days	23.32

CW - Catalyst Watch, STV - Short-Term View

2	Date	Action	Expected Direction	Duration	Closing Price
2	13-Nov-25 11:29:30	Remove CW	Upside	90 Days	19.78

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Oct 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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